iheartjane.com | Case Study

The Four Alternatives They Contemplated

Alternative 1: Open Their Own Dispensary

- Build a cultivation, supply chain, and retail operation with superior inventory management
- Upside: Direct route to consumers; full control over experience
- Downside: $250K+ non-refundable license fee, another $250K+ in buildout/compliance costs, no farming expertise on the team, and, critically, would involve directly selling cannabis, which is a Federal crime

Alternative 2: Partner with Existing Online Directories (Leafly, Weedmaps)

- Plug into already-trafficked platforms by building value-added software connecting their directory listings to dispensary POS systems in real time
- Upside: Existing consumer traffic and brand recognition; faster traction
- Downside: Loss of strategic control; dependent on third parties who may not share their vision; unclear path to achieving their core mission through someone else's platform

Alternative 3: B2B "Seed to Sale" Inventory Management Software

- Sell licensed software to growers and dispensaries for end-to-end product tracking (harvest to manufacturing, to distribution, to retail sale)
- Upside: Clear regulatory value-add; recurring B2B revenue; scalable as a software product
- Downside: Mostly a back-office tool, which doesn't directly reshape how consumers experience the market; more of a compliance solution than a marketplace

Alternative 4: Two-Sided Online Marketplace (what they chose)

- Build a "digital storefront" for individual dispensaries powered by real-time POS data, layered with a consumer-facing search/exploration/reservation interface
- Modeled on OpenTable (reservations) and Grubhub (marketplace, no direct distribution)
- Upside: Platform economics; network effects between dispensaries and consumers; no direct involvement in cannabis sales (reduces Federal legal risk); scalable across markets without licenses
- Downside: Classic two-sided market cold-start problem — they need both dispensaries and consumers to create value

Proposed Strategies

Strategy 1: B2B Vertical Software ("Seed to Sale" Inventory Management)
This strategy positions iheartjane.com as the infrastructure layer of the legal cannabis industry by selling comprehensive inventory management software directly to dispensaries and growers. Leveraging Abe's systems integration expertise and the team's technical credibility, the platform would generate recurring SaaS subscription revenue without requiring consumer-facing traction, solving the cold-start problem and keeping Federal legal risk minimal. However, this approach does not directly serve consumers, limiting alignment with the team's core mission of making cannabis accessible and destigmatized, and faces low long-term defensibility if competitors replicate the software.

Strategy 2: Two-Sided Online Marketplace (Platform/Network Strategy)
This strategy positions iheartjane.com as the organizing layer of the consumer cannabis market by building a platform that connects dispensaries and consumers through real-time search, exploration, and reservations. Modeled on OpenTable and Grubhub, the platform charges dispensaries a small per-reservation fee while offering consumers a free, stigma-free shopping experience, using network effects to grow both sides simultaneously. This approach fits most naturally with what the team actually set out to do and offers the strongest long-term competitive moat through

accumulated network effects and data, but requires solving the classic two-sided cold-start problem and faces pressure from better-funded competitors like Eaze and established directories like Weedmaps.

Compare & Contrast

The B2B Vertical Software strategy and the Two-Sided Marketplace strategy share a common foundation; both leverage Abe's technical expertise and the real-time POS data already being generated by dispensaries, and both avoid direct involvement in cannabis sales, keeping the team's Federal legal risk low. However, the two strategies split pretty dramatically from there. The B2B approach targets dispensaries exclusively, generating stable recurring revenue through SaaS subscriptions without needing to build consumer-facing traction, making it easier to get off the ground but ultimately limiting the company's reach and mission alignment. The Marketplace strategy, by contrast, serves both sides of the market simultaneously, using network effects to create a platform that grows more valuable as more dispensaries and consumers join, which fits most naturally with what the team actually set out to do, giving consumers safe and informed access to cannabis. Where the B2B model offers lower execution risk and more predictable early revenue, it also offers a weaker long-term competitive moat since the software could eventually be replicated by competitors. The Marketplace model is harder to launch due to the cold-start problem, but once critical mass is achieved, the network effects and accumulated consumer and dispensary data create a significantly more defensible and scalable business.

Their Decision

iheartjane.com ultimately chose the Two-Sided Marketplace strategy, and by March 2018 the early results suggest it was the right call. The team's decision to model their platform on OpenTable and Grubhub gave them a clear and proven blueprint for execution, and their choice to avoid direct cannabis distribution kept them on the right side of Federal law while still allowing them to create meaningful value for both dispensaries and consumers. The way they went to market early on was actually pretty smart: rather than pursuing the largest and most established dispensaries first, they focused on small and mid-sized dispensaries in Santa Cruz and San Jose, where their value proposition as affordable "IT guys" providing a digital storefront was most compelling. This allowed them to build the supply side of the platform first, which then gave them the consumer-facing coverage needed to attract end users, and eventually loop back and recruit the larger dispensaries that had initially turned them away. By March 2018, this approach had resulted in relationships with 250 dispensaries across six states, demonstrating that the marketplace model was scalable beyond their initial California foothold. The $1 per reservation pricing model, while modest, was effective at minimizing friction during the adoption phase. The primary vulnerability of their chosen strategy remains the competitive landscape, better-funded players like Eaze and established directories like Weedmaps and Leafly continue to compete for the same market, meaning that iheartjane.com's long-term success will depend heavily on how quickly and effectively they can deepen their network effects and expand their consumer-side value proposition before a better-resourced competitor closes the gap.

Moving Forward

Looking ahead, iheartjane.com should focus on three moves that build on each other to strengthen where they stand. First, they should begin investing meaningfully in the consumer side of the platform, introducing value-added features like personalized product recommendations, price alerts, and curated discovery tools to deepen engagement and retention among both "Lion" and "Mouse" customer segments. Second, on geographic expansion, the team should pursue a targeted middle path: rather than going fully national all at once or staying narrowly local, they should expand systematically into states where cannabis legalization is newly established, capturing dispensaries early before competitors can establish relationships. This is the same playbook that worked in Santa Cruz and San Jose, just running in more places. Finally, the team should evolve their pricing model beyond the $1 per reservation fee, exploring a tiered SaaS subscription for dispensaries that bundles the digital storefront with premium features like analytics and advertising placements, bringing in steadier revenue without the legal headaches that come with commission-based models. Together these moves would strengthen both sides of the marketplace, broaden their geographic footprint, and put themselves in a much stronger position before they go back out to raise money.